

I am Charles Brennan, Executive Chairman & CEO of Vanguard Logistics Services (USA), Inc. located at 5000 Airport Plaza Drive, Suite 200, Long Beach, CA 90815 and licensed as an OTI under License Number 017237N.

Vanguard is a leading, neutral NVOCC OTI operating 17 offices in the US, 89 Offices worldwide and a network of over 200 Agents globally.

In response to Docket 17-04 Regulatory Reform Initiative, we appreciate the opportunity to comment on ways to make the Commission's regulations less burdensome and more effective in achieving the objectives of the Shipping Act.

Elimination of Tariff Filing

Transportation intermediaries in the aviation and surface transportation industries have been relieved of the necessity of filing tariffs for a number of years. This has allowed shippers and intermediaries in those industries to create their own commercial arrangements without the added cost and burden of filing tariffs. There has been no outcry from shippers to revive this system.

As with its counterparts in aviation and surface transportation, the ocean intermediary industry is intensely competitive. If a customer is unhappy with a rate, condition or term offered by one NVOCC, it has literally thousands of other NVOCC choices. NVOCCs are the only intermediaries that still face strict regulatory controls on the rates offered their customers. We ask that the FMC assess whether any tariff filing is truly necessary to protect shippers in the marketplace.

Eliminate 46 CFR Part 531 NVOCC Service Arrangements

Each NSA reflects individual negotiations between a shipper and an NVOCC and service arrangements that typically relate to services for a specified volume of traffic over a specific period of time. While the filing of VOCC service contracts may be useful to the FMC in ascertaining whether VOCCs are engaging in behavior that violates anti-trust laws, this same purpose is not served by NVOCCs to go through the same time-consuming procedures. NSAs only add to unnecessary NVOCC costs without any balance to the public benefit. NVOCCs and their customers should be left free to structure their commercial relationships without federal involvement.

Eliminate 46 CFR Part 532 NVOCC Negotiated Rate Arrangements

While NRAs may have served a useful purpose some years back as a regulatory tool, today it is clear that NRA requirements are only a drain on shippers' and NVOCCs' time without a concomitant benefit to the shipping public. Neither shippers nor NVOCCs require government oversight of commercial contracts. NVOCCs and their customers should be left free to structure their commercial relationships.

VANGUARD LOGISTICS SERVICES (USA), INC.

5000 Airport Plaza Drive, Suite 200, Long Beach, CA 90815

VANGUARD LOGISTICS SERVICES (USA), INC. provides, through its affiliated companies, ocean transportation to and from the United States and throughout the world. Vanguard Logistics Services (USA), Inc. (OTI# 017237N) is the cornerstone U.S. company, serving in its own name or its U.S. trade names Vanguard Logistics Services, Vanguard, Brennan International Transport, Brennan, Conterm Consolidation Services, Conterm, Direct Container Line, DCL, Ocean World Shipping, OWS, Ocean Express and Oceanexpress or as the local agent for the Vanguard Logistics Services (Hong Kong) Limited dba Vanguard Logistics Services dba Vanguard (OTI# 019927) and Vanguard Logistics Services (Japan) Limited dba Vanguard Logistics Services dba Vanguard (OTI# 021711) companies.

Alternatively, NRAs need to be modified to allow all commercial terms to be included. Almost all logistics arrangements are individually negotiated between a shipper and an NVOCC. Those negotiated arrangements include far more than just base rates, as the contracting parties typically wish to cover a variety of service terms, including:

- Minimum volumes or time/volume rates
- Credit terms
- Service guarantees and/or service benchmarks, measurements and penalties
- Surcharges, GRIs or other pass-through charges from the carriers or ports
- Rate amendment processes
- EDI services
- Dispute resolution
- Liability
- Rate or service amendments
- Expiration date

Although each of these terms may be included in the commercial agreement between an NVOCC and its customer, none of the items on this list can properly be included in an NRA. Instead, the parties must either file those terms in an NSA or simply not cover them except in a tariff format. If the FMC finds that the NRA is required to protect the interests of the shipping public, the regulations must be modified to reflect the reality of the commercial relationship between the shipper and NVOCC.

Eliminate Rules Relating to Shipper-To-Carrier and Carrier-To-Carrier Co-loading

Vanguard Logistics agrees with the comments posted by the NCBFAA submitted to the FMC in response to its Notice of Inquiry.

Freight Forwarder Compensation-Section 515.42(b) Should be Eliminated

If a freight forwarder has not provided certain functions which would entitle it to compensation, the forwarder will have violated the regulations. Creating additional documentation to certify that those functions have been performed only adds to the regulatory burden. The certification requirements for freight forwarder compensation should be withdrawn entirely.

Dated July 5, 2017

Sincerely,

Charles Brennan
Chairman & CEO

VANGUARD LOGISTICS SERVICES (USA), INC.

5000 Airport Plaza Drive, Suite 200, Long Beach, CA 90815

VANGUARD LOGISTICS SERVICES (USA), INC. provides, through its affiliated companies, ocean transportation to and from the United States and throughout the world. Vanguard Logistics Services (USA), Inc. (OTI# 017237N) is the cornerstone U.S. company, serving in its own name or its U.S. trade names Vanguard Logistics Services, Vanguard, Brennan International Transport, Brennan, Conterm Consolidation Services, Conterm, Direct Container Line, DCL, Ocean World Shipping, OWS, Ocean Express and Oceanexpress or as the local agent for the Vanguard Logistics Services (Hong Kong) Limited dba Vanguard Logistics Services dba Vanguard (OTI# 019927) and Vanguard Logistics Services (Japan) Limited dba Vanguard Logistics Services dba Vanguard (OTI# 021711) companies.